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POLICY NUMBER: FP-FIN-301

**UNCERTAIN
TAX POSITIONS**

**ACCOUNTING
POLICY**

POLICY STATEMENT

The purpose of this policy is to provide comprehensive guidance regarding Hilton Worldwide Holdings Inc.'s ("Hilton's") accounting policy regarding identification, recognition, and measurement of tax benefits stemming from an UTP ("Uncertain Tax Position") in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC").

SCOPE

Hilton is a hospitality company which operates in and is subject to income taxes in a variety of jurisdictions. The challenges posed by complex and differing tax rules in those various jurisdictions leads to the need to assess whether Hilton's various income tax return positions may be classified as an UTP. Therefore, the unique challenges in applying various jurisdictions' tax laws, identifying UTPs, and thus measuring/recording any income tax reserves relating to those UTPs make this a critical area of Income Tax Accounting policy for Hilton. This policy provides guidance on how Hilton should account for UTPs.

APPLICABILITY

This policy applies to all entities within Hilton's consolidated financial reporting group subject to income-based taxes as well as Team Members with responsibilities over Income Tax Accounting.

EXCLUSIONS/ EXCEPTIONS

This policy does not apply to any tax positions that relate to non-income-based taxes.

AUTHORIZATIONS

Required Consultations with Tax

N/A

INITIAL RECOGNITION AND MEASUREMENT

General Accounting Guidelines

With regard to reporting UTPs on Hilton's financial statements, Hilton executes a process of identifying its material tax positions, determining if those tax positions are uncertain and meet the recognition threshold of "more likely than not" ("MLTN"), and measuring the tax liability amount to be recorded for its UTPs.

Please note that tax positions that are uncertain and do not meet the MLTN threshold or tax positions that are "highly certain" are not the main focus of this policy, as no initial tax benefit can be recognized for UTPs that do not meet the MLTN threshold and all of the tax benefit is generally recognized on tax positions that are considered "highly certain".

a. Identification of Material UTPs

In identifying new UTPs, it is Hilton's policy to gather, review and assess the various facts and circumstances relating to tax benefits created as a result of current or future tax positions (positions taken or expected to be taken). In identifying those potentially uncertain tax positions, Hilton will generally take into account factors including, but not limited to:

1. Tax benefits that result from the application of a jurisdiction's tax law that is challenging due to the fact that it is not clear in relation to Hilton's facts and circumstances.
2. Tax benefits resulting from certain income or transactions that were excluded from a tax return.
3. Tax benefits derived from a particular equity restructuring transaction that was treated as a tax-free restructuring.
4. Tax benefits resulting from a decision to classify an entity as tax exempt, as a pass-through entity or not subject to income tax in a certain jurisdiction.
5. Tax benefits derived from inter-company transactions involving different income tax jurisdictions.
6. Tax benefits derived from a decision to not file an income tax return in a particular jurisdiction.

7. Tax benefits derived from Hilton's restructuring transactions as a result of corporate realignment/changes to organizational structure.

With regard to the previously identified UTPs, it is Hilton's policy to continually assess whether any facts and circumstances have changed (i.e., new information) that would revise an earlier decision to treat the tax positions as uncertain, change the unit of account, or change the manner in which the tax benefit from the position was previously measured.

b. Recognition of UTPs as More Likely Than Not

After identification of new UTPs is complete, it is Hilton's policy to determine the "unit of account" and whether or not the UTP meets the MLTN threshold in order to record any tax benefit relating to the UTP.

Unit of Account

The importance of determining the unit of account is that it allows Hilton to define the level at which the UTP should be analyzed. For the most part, the selection of the unit of account is intuitive (i.e., the unit of account for the exclusion of a certain item of income generally would be the income in question). In other instances, the unit of account is not so intuitive, especially when a tax position is based upon a complex exercise or calculation involving a number of different factors or inputs. In this situation, Hilton will need to exercise professional judgement in determining the unit of account.

Regardless of whether the determination of the unit of account is intuitive or not, it is Hilton's policy to always consider the following factors in determining the unit of account:

1. Hilton will consider the manner and level at which the information is accumulated to prepare and support the tax return, as a whole and
2. Hilton will reasonably anticipate the level at which the applicable taxing authority will address issues during examination.

Once the unit of account has been established, it will be consistently applied from period to period, unless a change in circumstances (e.g., changes in organizational structure, change in product lines/services/offerings, or changes in the regulatory environment of tax laws) suggests the need for reassessment. It is important to note such assessment should be based on new information rather than a re-evaluation of information existing at the time the unit of account was originally identified.

More Likely Than Not ("MLTN") Recognition Threshold

Concurrent with the determination of a unit of account, Hilton also determines if the UTP meets the MLTN threshold. This is important because ASC 740-10-25-6 requires that for benefit recognition (also called measurement, see **Measurement of Tax Benefits of UTPs** subsection below) of a UTP, the position must have at least a MLTN chance of being sustained based upon its technical merits, if challenged by taxing authorities and taken by Hilton to a court of last resort. In coming to the conclusion that the UTP meets the MLTN threshold it is Hilton's policy to:

1. Assume that the taxing authority has full knowledge of the UTP and all relevant facts available as of the reporting date, and
2. Analyze relevant tax law, regulations, case law, and other objective information in relation to the UTP's technical merits to sufficiently support the sustainability of the position's benefits with a likelihood that is greater than 50% (without any consideration of detection of risk or examination risk).

It is Hilton's policy to exercise judgment when considering the various forms of support that would be analyzed in determining if a particular UTP meets the MLTN threshold, as that support can have different levels of authority or reliance and the amount of support can vary with respect to each UTP.

c. Measurement of Tax Benefits of UTPs

Upon concluding that the UTP meets the MLTN recognition threshold, Hilton will then measure the dollar amount of the tax benefit to be recognized. It is Hilton's policy to use either the Cumulative Probability or Binary Method to measure the expected tax benefit. The use of either of these alternatives is dependent on the facts and circumstances as to how the issue might be settled with the tax authority.

Cumulative Probability

The use of this method for measurement requires Hilton to exercise professional judgement, as this method entails the assignment of a probability to each potential settlement outcome in order to determine the greatest amount of tax benefit whose probability of being realized is greater than 50 percent. This concept can be further explained through the following example:

Assume a tax return includes a position that results in an “as filed” benefit of \$100. The position is considered to be MLTN sustainable based on its technical merits and meets the requirement for recognition.

Amount of the tax benefit sustained	Individual probability of a particular outcome	Cumulative probability that the tax position will be sustained
\$100	40%	40%
\$75	20%	60%
\$50	15%	75%
\$25	15%	90%
\$0	<u>10%</u>	100%
	<u>100%</u>	

In this case, \$75 is the amount of tax benefit that would be recognized in the financial statements because it represents the largest amount of benefit that is more than 50 percent likely to be sustained upon settlement.

Hilton does not prescribe a method for determining the individual probabilities for settlement, as those are the result of exercising professional judgment on a variety of factors which may vary for each UTP. That being said, Hilton would consider factors including, but not limited to, the following:

1. The perceived weight of tax law in Hilton’s favor;
2. The extent of tax law precedent being applied to the UTP;
3. Expectations regarding how aggressively the tax authority might pursue the UTP; and
4. Hilton’s willingness to defend the position in court

Binary Method

There are certain fact patterns whereby it is determined that the UTP is not something that can be settled with the tax authority through a compromise. In other words, the UTP is either sustained or denied in its entirety. Under this method, Hilton will record 100 percent of the expected tax benefit.

Subsequent to the measurement exercise, the resulting amount of tax benefit will be determined, which will also provide Hilton with the amount of additional tax liability that will be recorded relating to the measured UTP.

d. Interest and Penalties

Generally, the unrecognized tax benefit discussed above is representative of the potentially underpaid taxes in a particular jurisdiction, for which penalties and interest may be assessed. It is Hilton’s policy to review its facts and circumstances along with the jurisdiction’s relevant tax laws to calculate the amount of interest and penalties relating to each of its UTPs as well as determining when Hilton should begin accruing such expenses.

PRESENTATION

Income Statement Recognition of UTPs

With regard to the income statement impact of changes for prior period UTPs, it is Hilton's policy to generally record any necessary changes in liability balances to continuing operations under the guidance of ASC 740-20-45. The only exception to this would be for any sort of initial benefit recognition relating to items detailed under ASC 740-20-45-11 (c)–(f). The tax effects of UTP changes relating to these items would be recorded directly to equity.

It is also Hilton's policy to record the income statement effect of any current UTPs (as opposed to changes to prior period UTPs) in the current period consistent with the general rules under ASC 740-20-45.

Interest and penalties will be recorded to the income statement as "income tax benefit (expense)" and will generally be subject to the same intraperiod allocation as its related UTP. It is also Hilton's policy to disclose this presentation in the footnotes to its consolidated financial statements.

For purposes of interim period (quarterly) financial reporting, it is also important to note that changes to UTP liabilities related to a prior period will be accounted for as discrete items while the impact of UTPs related to the current financial reporting year should be included in the estimated annual tax rate calculation made by Hilton, the result of which will be applied against Hilton's year-to-date ordinary income.

Balance Sheet Presentation of UTPs

It is Hilton's general policy to present liabilities relating to UTPs within either "Other non-current liabilities" or "Accounts payable, accrued expenses and other" line item in the consolidated balance sheet. Income taxes payable may also be subject to reclassification into "Other non-current assets" or "Other current assets" line item in the consolidated balance sheet, if the overall balance of the income taxes payable, after considering the impact of the UTP liability, is in a net debit position. This presentation is done with consideration of Hilton's other presentation requirements.

It is also Hilton's policy to present an UTP as a reduction to net operating loss, or similar tax loss, or tax credit carryforward deferred tax assets available at the reporting date under the applicable jurisdiction to settle additional income taxes that would arise from the disallowance of an UTP. This policy is followed except when a net operating loss or other carryforward is not available under applicable tax law to settle taxes that would result from the disallowance of a tax position or an entity does not intend to use the deferred tax assets for this purpose, assuming tax law permits a choice. When either of the exceptions exist, the UTP will be presented as a liability and will not reduce deferred tax assets.

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-300 – Income Taxes Accounting Policy](#)

TERM/ACRONYM	DEFINITION
Tax Positions	A position in a previously filed income tax return or a position expected to be taken on a future income tax return, which is reflected in measuring current and/or deferred income tax assets and liabilities for an interim or annual period. The term encompasses, but is not limited to: 1) A decision not to file an income tax return 2) Shifts of income between jurisdictions 3) Decisions to exclude reporting taxable income in a tax return 4) Decisions to classify a position as "tax exempt" 5) An entity's status (i.e. pass-through entity, tax-exempt, not-for-profit, etc.)
"More Likely Than Not" Recognition Threshold	The MLTN recognition threshold is a positive assertion that an entity believes it is entitled to the economic benefits associated with a tax position; MLTN means that there is a likelihood of more than 50 percent that the tax position will be sustained upon examination by tax authorities.

“Highly Certain” Positions	Tax positions based on clear and unambiguous tax law; sustainability of these positions is near certain.
Unit of Account	The level at which a tax position should be analyzed.
Cumulative Probabilities	A measurement methodology that requires each potential outcome (that may resolve an uncertain tax position) be assigned a probability to determine the greatest amount of tax benefit whose probability of being realized is greater than 50 percent.
Court of Last Resort	In relation to UTPs, the court of last resort is the highest court that has discretion to hear a case surrounding the sustainability of a position.
Binary Method	A measurement methodology where there is an “all or nothing” approach with regard to measurement of the uncertain tax position, due to an inability to negotiate compromise with the tax authority, as expectations are that the tax authority will either sustain or deny the benefit of the UTP in its entirety.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
For questions refer to Technical_Accounting@Hilton.com	The email represents the Technical Accounting contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Technical Accounting team or the listed e-mail.